

If you have a credit card, I want you to bring your statement to this week's Barefoot Money Meal.

It's 'show and tell' time.

Get your credit card statement, grab a highlighter and circle the 'minimum payment due'. (Look at the statement on [page](#).)

On your statement, you'll notice that the bank has intentionally bolded this so it looks like you only need to pay the interest? In fact, that's 2.5 per cent of the outstanding balance. The bank only wants you to pay the minimum because, if you do, you'll end up paying them nearly \$5000 in interest over the life of the loan!

Ask your kids: 'Can you now see how credit cards make everything more expensive?'

Then give them some context:

The average person in Australia has a \$4400 balance on their credit card. The banks encourage us to only make the minimum repayments . . . because if we do it'll take 31 years to pay off, and cost \$14 900 in interest.